Canadian Politics and Economic Prosperity (1980-2025)

Course: *SCS3584: Statistics for Data Science*
School of Continuing Studies
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1. Objectives

Summary

This report examines the role of government at the federal level in relation to the functioning of the Canadian economy during the years 1980 - 2025. The report applies statistical techniques learned in the course *SCS3584: Statistics for Data Science*, along with some other techniques used in the industry. In this study, measurements of economic prosperity considers the sources: GDP growth, unemployment rate, Consumer Price Index (inflation rate) and interest rate against the periods of the elected government parties.

Background

During the period of this study, the main rivals that governed Canada were either the Liberal or Conservative party. Liberal party ideology is commonly associated with higher taxation, increased government spending on social and healthcare programs, and stricter employment protection. Conservative party ideology tends to favour reduced social expenditures, lower taxes and the promotion of international trade and to stimulate business growth. Given these fundamental differences, it is reasonable to expect evidence that political ideology has a measurable role in shaping economic outcomes. A comparative study spanning over a century found no significant economic differences between parties in Canada (Voia, Ferris [1]). By reevaluating that question using more recent data this project presents an interesting challenge.

Hypothesis

By measuring economic performance factors, an understanding of how each party affects Canada's prosperity can be determined. In statistical terms, the report's main objective is to evaluate these hypotheses.

Null Hypothesis (H_0):	The governing political party has no effect on prosperity.
Alternate Hypothesis (H_1):	The governing political party produces different prosperity outcomes.

2. Data Preparation

Overview

Federal election results were obtained from Elections Canada[1] and Wiki[2], covering the 46- year period from 1980-2025.

All datasets were drawn from reliable sources and required only minor preparation before analysis. Four economic indicators were compiled as measures of economic prosperity:

- GDP growth - World Bank [3]
- Unemployment rate - Statistics Canada [4]
- Inflation rate - Consumer Price Index, Statistics Canada [5]
- Interest rate - Overnight spot rate, Bank of Canada [6]

We used Python (pandas, NumPy, statsmodels, SciPy) to ingest CSV files from Elections Canada, the World Bank, Statistics Canada, and the Bank of Canada, then cleaned and merged them into a single annual dataset. Monthly series were converted to annual values. The final dataset contains one row per year (1980–2025) with four economic outcomes and engineered features for party, a linear time

trend, and dummy variables for major events (GFC, COVID-19, Ukraine-war period, US administration change).

Government Party

Federal election results were compiled from Elections Canada and historical sources, then stored in a CSV file and loaded with pandas. Each calendar year from 1980 to 2025 was assigned a governing party label (Liberal or Conservative), and a binary variable party_binary was created (1 = Liberal, 0 = Conservative). Although Canada is a multi-party system, only Liberal or Conservative governments held power during this period, so other parties do not appear in our coding.

A consolidated summary of five times parties changed hands is presented in the table 1. A more detailed breakdown of the election results is available in Appendix A.

Election Date	Prime Minister	Government Party	Years
1980-02-18	Pierre Trudeau	Liberal	5
1984-09-04	Brian Mulroney	Conservative	9
1993-10-25	J. Chrétien / P. Martin	Liberal	13
2006-01-23	Stephen Harper	Conservative	10
2015-10-19	J. Trudeau / M. Carney	Liberal	10
Total		Conservative: 19 Liberal: 28	47

Table 1: Government party periods.

Unemployment Rate

Monthly unemployment rate estimates were sourced from Statistics Canada's 1410028701 dataset, covering the period 1980-2025 and for ages "15 years and over". Export to "database load" format was selected. The date and rate values were extracted, grouped by year, and averaged to produce annual means. See notebook Step 7.

Inflation Rate

Monthly Consumer Price Index (CPI) inflation rate estimates were sourced from Statistics Canada's dataset 1810000401, covering the period 1980-2025. Export to "database load" format was selected. The date and rate values were extracted, grouped by year, and averaged to produce annual means. See notebook Step 8.

Gross Domestic Product Growth

The World Bank provides annualized GDP growth data for every country in the world through its API_NY.GDP.MKTP.KD.ZG dataset, available from 1960 onward. The data row for Canada was extracted for the 1980-2025 period and transposed from column-wise format into a row-wise dataframe. See notebook Step 9.

Interest Rate

The Bank of Canada, which sets the interest rate to balance inflation and broader economic health, provides annually averaged interest rate data in the V39079 dataset. The date and annual mean values were used directly and loaded into a dataframe. See notebook Step 10.

Model Preparation

The government party and economic indicator datasets were merged into a single dataframe along a unified annual timeline. A binary dummy variable, “party_binary”, was added to distinguish between Liberal and Conservative governments.

To account for the influence of confounding factors, the following dummy variables were also included in the model:

- “gfc” - Global financial crisis (2008-2009)
- “covid” - COVID-19 pandemic (2020-2022)
- “ukraine_war” - War in Ukraine (2022-2025)
- “us_admin_change” - US administration change (2024-2025)

See notebook Steps 11-12.

We also created a linear trend variable (1980 = 0, 1981 = 1, …) for use in regression models. This structured dataset is the basis for all descriptive statistics, hypothesis tests, and regression analyses in the rest of the report.

3. Analysis

The datasets cover 46 annual observations spanning 1980-2025. Liberal governments account for 28 years (60%) and Conservative governments for 19 years (40%). This imbalance in sample sizes is worth noting when comparing groups, as the larger Liberal sample carries greater statistical power and produces more stable estimates.

3.1 Descriptive Statistics

The following table 2 the descriptive statistics for each economic indicator. Across the full sample, unemployment averaged 8.1%, inflation 3.0%, GDP growth 2.3%, and the interest rate 5.4%. All four indicators show substantial variation over time, especially during crisis periods. Liberal years had slightly lower unemployment and somewhat higher GDP growth on average, while Conservative years showed slightly lower inflation and slightly higher interest rates. However, these differences were small relative to the overall variability of the data.

Outcome	Mean	Std. Dev.	Min	Max
Unemployment rate	8.05	1.75	5.25	12.00
Inflation rate	2.99	2.40	0.17	12.47
GDP growth	2.31	2.25	-5.04	5.95
Interest rate	5.36	4.55	0.25	17.84

Table 2: Descriptive statistics of economic indicators.

3.2 Party Period Plots

A scatterplot was generated for each economic indicator using the mean values computed during data preparation, covering the period 1980-2025. Coloured shading and party-coded data points make it simpler to visualize how economic conditions varied between parties.

Outliers were retained in the original data, since they reflect significant real-world economic events rather than measurement error. The plots clearly capture several notable periods:

- Stagflation of the 1980s (Liberal) - low GDP growth, high inflation & interest.
- Sustained GDP of 1990s (Conservative) - steady GDP, low unemployment & inflation.
- Global financial crisis of 2008 (Conservative) - low GDP, high unemployment.
- COVID-19 pandemic of 2020 (Liberal) - low GDP, high unemployment.

A more detailed breakdown of economic events is available in Appendix B.

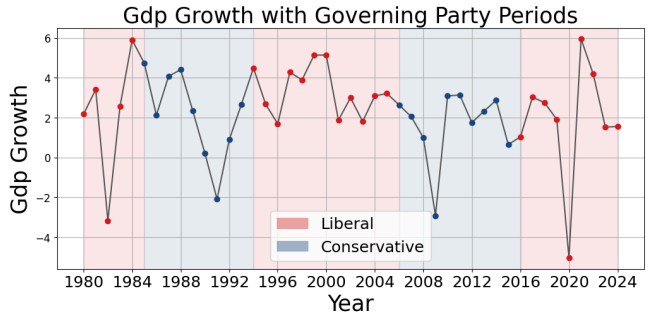

Figure 1.1: GDP growth by party period

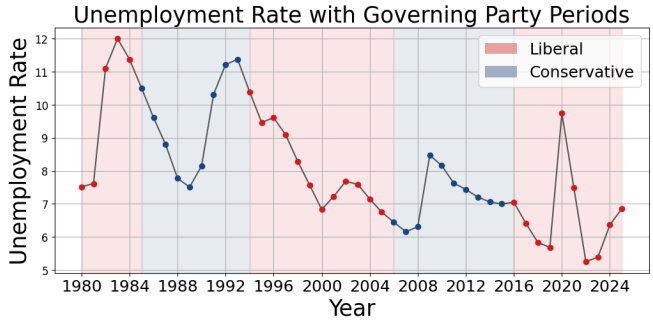

Figure 1.2: Unemployment rate by party period

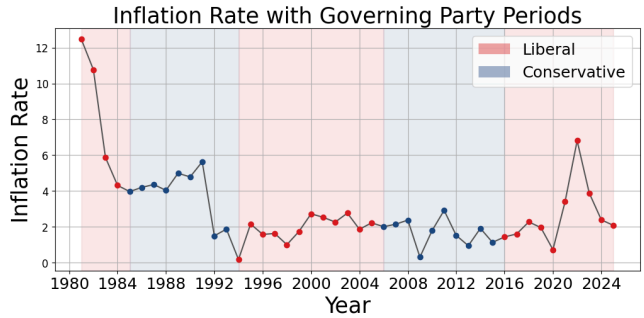

Figure 1.3: Inflation rate by party period

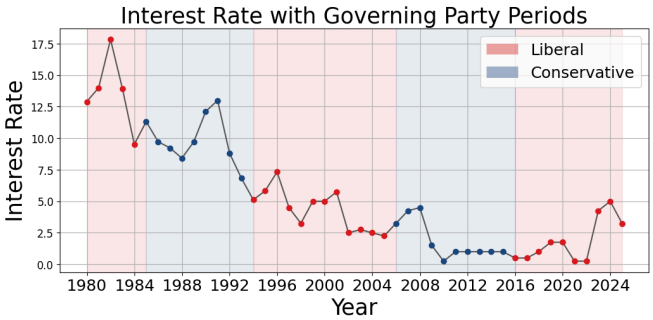

Figure 1.4: Interest rate by party period

The party period plots reveal patterns of interaction between economic indicators (Figure 1). For example, GDP growth is typically followed by a rise in inflation rate. The Bank of Canada responds by adjusting the interest rate - either for contraction or expansion. This results in a small lag between the two rates. This relationship is demonstrated by the correlation analysis, discussed later in this report.

The plots also highlight the distinction between government-driven and confounding economic events. For example, the signing of the NAFTA agreement (negotiated under the Progressive Conservative government, implemented in 1994 under the Liberal government) in 1995 under the Conservative government was a deliberate policy that resulted in a period of growth and low unemployment. By contrast, the economic disruption caused by the COVID-19 pandemic in 2020 during the Liberal government's tenure was an external shock beyond their control.

3.3 Statistical Inference

The notebook uses Welch's t-tests, effect size estimates, one non-parametric robustness check, and event-versus-non-event comparisons. Together, these results (Table 3) suggest that party-based differences are weak, while macroeconomic events and long-run trends explain more of the variation.

Outcome	Liberal mean	Conservative mean	Difference (L-C)	t-stat	p-value
Unemployment rate	7.90	8.27	-0.37	-0.72	0.477
Inflation rate	3.17	2.75	0.42	0.63	0.533
GDP growth	2.62	1.89	0.73	1.11	0.273
Interest rate	5.13	5.68	-0.55	-0.41	0.687

Table 3: Welch's t-test results of economic indicators.

Welch's T-test

Since the Liberal/Conservative grouped data has unequal (60/40) power, Welch's t-test is preferred over the standard t-test. Welch's t-test compared Liberal and Conservative years for each outcome. None of the party-based mean differences were statistically significant at the 5% level. This means the data do not provide strong evidence that one party systematically produced different average unemployment, inflation, GDP growth, or interest rates over the study period.

Event vs Non-Event Analysis

To better account for confounding shocks, we compared three global events that might affect the economy: the global financial crisis, COVID-19, and the period of the war in Ukraine. We have compared the four economic outcomes in the event years versus non-event years.

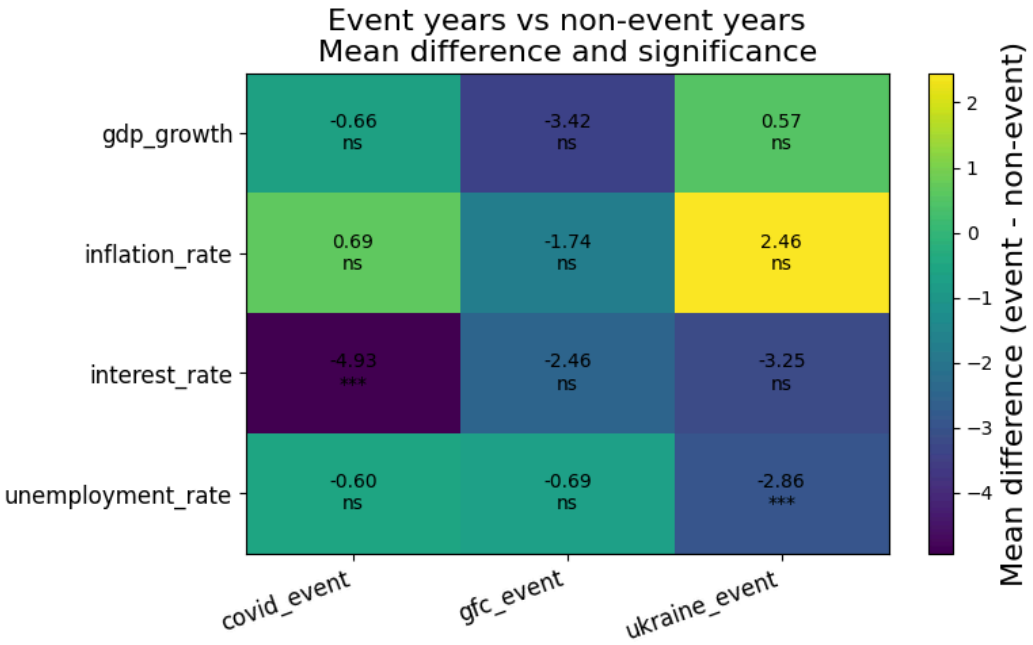

Figure 2: Heatmap of event years versus non-event years.

The heatmap (Figure 2),presents the mean difference between event and non-event years, with significance indicated. Negative values reflect lower outcomes during event periods, while positive values indicate higher outcomes.

The most pronounced effect occurs during COVID-19, with significantly lower interest rates (-4.93, $p < 0.001$). The Ukraine-war period is also associated with lower unemployment (-2.86, $p < 0.001$). Most differences in inflation and GDP growth are not statistically significant. Overall, event effects are more evident than differences across political parties.

The Bank of Canada's overnight rate was closely tied to COVID-19 because the pandemic caused a sudden economic shock, with lockdowns, falling demand, market stress, and rising recession risk pushing the Bank to cut rates quickly to support borrowing, spending, and financial stability [8]. In March 2020 alone, it lowered the rate from 1.75% to 0.25% through a series of emergency cuts, explicitly citing the negative impact of COVID-19 and the added pressure of collapsing oil prices. News at the time reflected the severity of the crisis, as Canada and many other countries were moving into lockdown and financial markets were reacting sharply, which explains the aggressive responses. To better account for confounding shocks, the notebook compares event years against non-event years for the global financial crisis, COVID-19, and the Ukraine-war period. This was added because it answers the proposal question more directly than a large set of advanced but overlapping methods.

The clearest finding in this section is that the COVID-19 period is associated with a much lower interest rate than non-COVID years, which is consistent with emergency monetary easing. The Ukraine-war period also coincides with lower unemployment relative to non-event years. Overall, event effects appear more visible than simple party differences.

Detecting Effect Significance

Following-up on the t-test results, Cohen's d and the rank-biserial correlation were used to evaluate the practical magnitude of the differences between Liberal and Conservative governing periods (Table 4). Across all four indicators, the effect sizes were small. Unemployment showed a Cohen's d of -0.21 and a rank-biserial correlation of 0.16, suggesting Liberal governments were associated with slightly lower unemployment on average. Inflation showed Cohen's d of 0.17 and a rank-biserial correlation approximately zero (-0.00), indicating no meaningful separation between party periods. GDP growth had the largest Cohen's d of 0.32 and a rank-biserial correlation of -0.26, indicating somewhat higher GDP growth during Liberal years. The interest rate with a Cohen's d of -0.12 and a rank-biserial correlation of 0.06 indicating a negligible difference.

Overall, these results show that while numerical differences exist between Liberal and Conservative governments, their practical magnitude is weak. This supports the earlier t-test findings that party-based differences in the four economic outcomes are limited and not economically large.

Outcome	Cohen's d (L − C)	Cohen's d Effect	Rank-biserial
Unemployment rate	-0.210	small	0.158
Inflation rate	0.174	negligible	-0.004
GDP growth	0.325	small	-0.255
Interest rate	-0.120	negligible	0.058

Table 4: Effect size analysis of economic indicators.

3.4 Bootstrap Confidence Intervals

The bootstrap confidence interval results in table 5 provide important insight into the stability and reliability of the estimated differences in economic outcomes between political parties, while the point estimates suggest some directional differences. The CI results are listed in the following table.

Outcome	Mean Diff (L - C)	CI Lower	CI Upper
Unemployment rate	-0.37	-1.37	0.62
Inflation rate	+0.42	-0.84	1.79
GDP growth	+0.73	-0.57	1.96
Interest rate	-0.55	-3.08	2.02

Table 5: Bootstrap confidence intervals.

Unemployment Rate / Inflation Rate / GDP Growth

Unemployment shows a modest negative difference, suggesting that unemployment may be lower under Liberal governments. However, the confidence interval ranges from approximately -1.37 to 0.62, spanning both negative and positive values. This implies that the true effect could be in either direction, and therefore the observed difference is not reliable. A similar pattern is observed for inflation and GDP growth. While both variables show positive mean differences, their confidence intervals are wide and include zero, indicating substantial uncertainty in the estimates.

Interest Rate

The case of interest rates further reinforces this conclusion. Although the point estimate suggests slightly lower rates under Liberal governments, the confidence interval is extremely wide, ranging from approximately -3.08 to 2.02 in Figure 3. This large range reflects a high degree of variability in the data, likely due to the influence of monetary policy decisions and external economic conditions. Such a wide interval indicates that the estimate is highly unstable and should not be interpreted as evidence of a systematic difference.

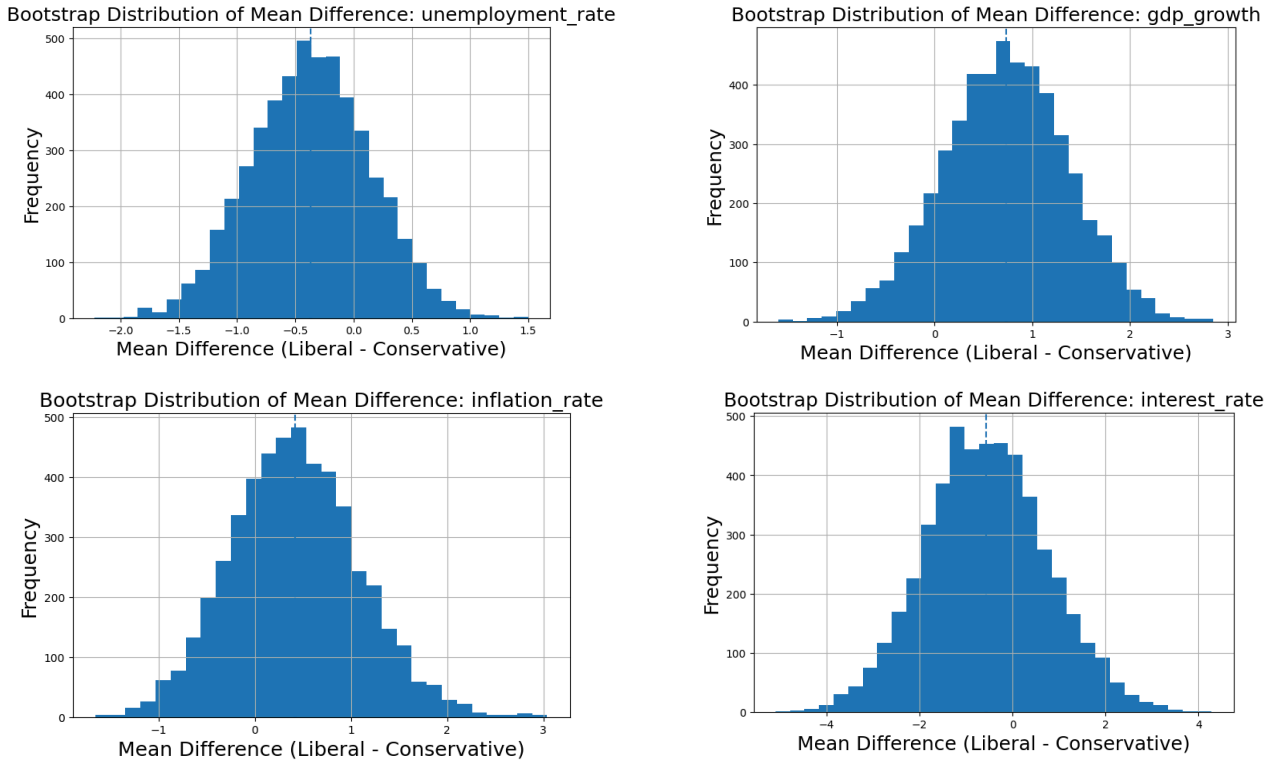

Figure 3: Bootstrap distribution of mean differences.

Summary

Taking all into account, these results suggest that the variation in economic outcomes is much larger than any observed differences between political parties. The wide confidence intervals reflect the presence of significant macroeconomic shocks, such as the global financial crisis and the COVID-19 pandemic, which introduce substantial variability into the data. As a result, any apparent differences between political parties are overwhelmed by broader economic forces.

Overall, the bootstrap analysis indicates that there is no strong or consistent evidence that a political party has a meaningful impact on economic performance. The estimated differences are small, uncertain, and not statistically robust, reinforcing the conclusion that economic outcomes are primarily driven by external shocks and structural trends rather than political leadership alone.

3.5 Permutation Tests for Means

The permutation test was conducted to evaluate whether the observed differences in economic outcomes between political parties could plausibly arise by random chance. Unlike traditional parametric tests, the permutation approach does not rely on distributional assumptions in Table 6. Instead, it constructs a null distribution by repeatedly shuffling the political party labels and recalculating the mean differences. This allows for a direct assessment of how unusual the observed differences are under the assumption that a political party has no real effect. The following table shows the results of mathematical analysis.

Outcome	Observed Mean Diff (L - C)	Permutation p Value
Unemployment rate	-0.369379	0.4851
Inflation rate	0.420768	0.5804
GDP growth	0.727514	0.2903
Interest rate	-0.552690	0.6906

Table 6: Permutation test differences.

Unemployment Rate

The observed mean difference is approximately -0.37, suggesting slightly lower unemployment under Liberal governments. However, the corresponding p-value is 0.4851, indicating that nearly half of the randomly generated differences are as extreme as or more extreme than the observed value. This implies that the observed difference is entirely consistent with random variation and does not provide evidence of a meaningful relationship.

Inflation Rate

A similar pattern is observed for inflation. Although the mean difference is positive (approximately 0.42), suggesting somewhat higher inflation under Liberal governments, the p-value of 0.5804 indicates that such a difference is very common under random label assignments. Therefore, the observed inflation difference cannot be considered statistically significant. The results in Figure 4 show that the permutation p-values are relatively large across all economic indicators.

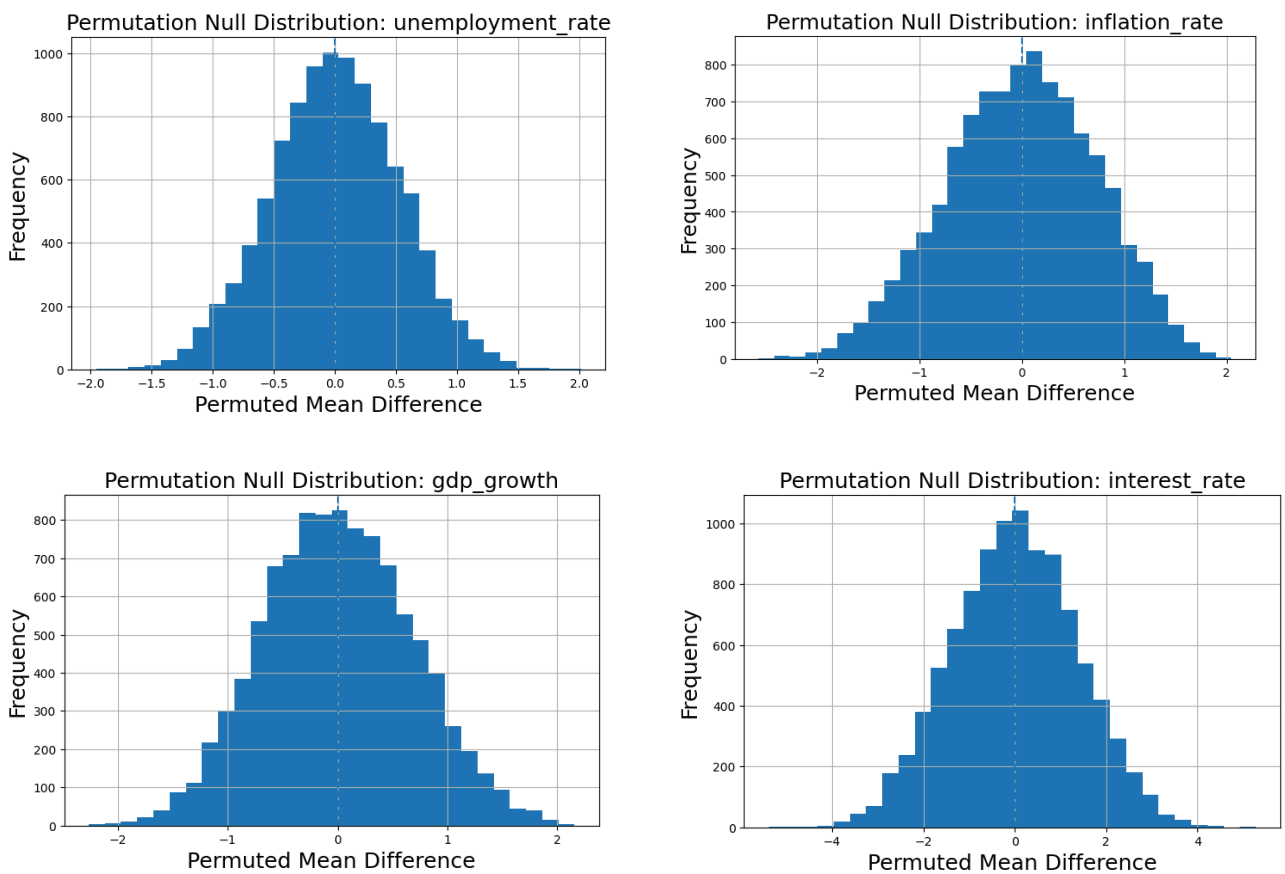

Figure 4: Permutation of null distributions.

GDP Growth

For GDP growth, the observed difference is somewhat larger at approximately 0.73, which might initially suggest stronger economic performance under Liberal governments. However, the permutation p-value of 0.2903 remains well above conventional significance thresholds. This indicates that even this relatively larger difference is not unusual in the context of random variation and does not provide strong evidence of a systematic effect.

Interest Rate

The interest rate results further reinforce this conclusion. The observed difference is approximately -0.55, but the permutation p-value is 0.6906, which is particularly high. This suggests that the observed difference is very typical of what would be expected if there were no real relationship between political party and interest rates. The high variability in interest rates, likely influenced by central bank policy and global financial conditions, contributes to this lack of statistical significance.

Summary

The permutation test results provide consistent evidence that the observed differences across all economic outcomes are not statistically distinguishable from random noise. The relatively large p-values indicate that similar or more extreme differences frequently occur when party labels are randomly reassigned. This strongly suggests that the apparent differences between political parties do not reflect a true underlying effect.

Overall, the permutation analysis reinforces the conclusions drawn from the bootstrap and regression results. It provides a distribution-free confirmation that a political party does not have a strong or reliable impact on economic outcomes in this dataset. Instead, the results point toward the dominant role of macroeconomic variability and external shocks in shaping economic performance.

3.6 Regression Analysis

This analysis examines the relationship between political parties and economic outcomes in Canada from 1980 to 2025 using observational data. It focuses on party affiliation (Liberal vs. Conservative) and four key indicators: unemployment, inflation, GDP growth, and interest rates. Regression models are used to estimate these relationships, with each outcome modeled as a function of political party, a time trend, and major economic events such as COVID-19, the Global Financial Crisis, and the Ukraine-related economic shock.

Figure 5 shows the estimated coefficients from the regressions. Each coefficient reflects how an economic outcome changes across political parties after accounting for time trends and major events. The 95% confidence intervals capture uncertainty, and if they include zero, the effect is not statistically significant at the 5% level. Overall, the results vary across outcomes and are sensitive to controls, suggesting the model reflects associations rather than clear causal effects.

While the regression results provide a structured comparison across political party periods, they do not establish causality. The party plot of Figure 1 illustrates the unemployment rate over time alongside political party periods and major economic events. The plot shows that economic outcomes evolve continuously and are influenced by multiple overlapping factors, including long-term trends and external shocks such as the Global Financial Crisis and the COVID-19 pandemic. The figure also shows that these changes occur across different periods of political parties, indicating that economic fluctuations are not solely driven by the party. Because these factors occur simultaneously with changes in political parties, it is difficult to isolate the effect of political parties alone on economic outcomes.

Taken together, the evidence indicates that the estimated relationships between political party and economic performance should be interpreted as statistical associations rather than causal effects. The

observational nature of the data and the non-random timing of political party periods limit the ability to attribute changes in economic outcomes solely to the governing party.
A brief discussion of causal effects is presented in Appendix C.

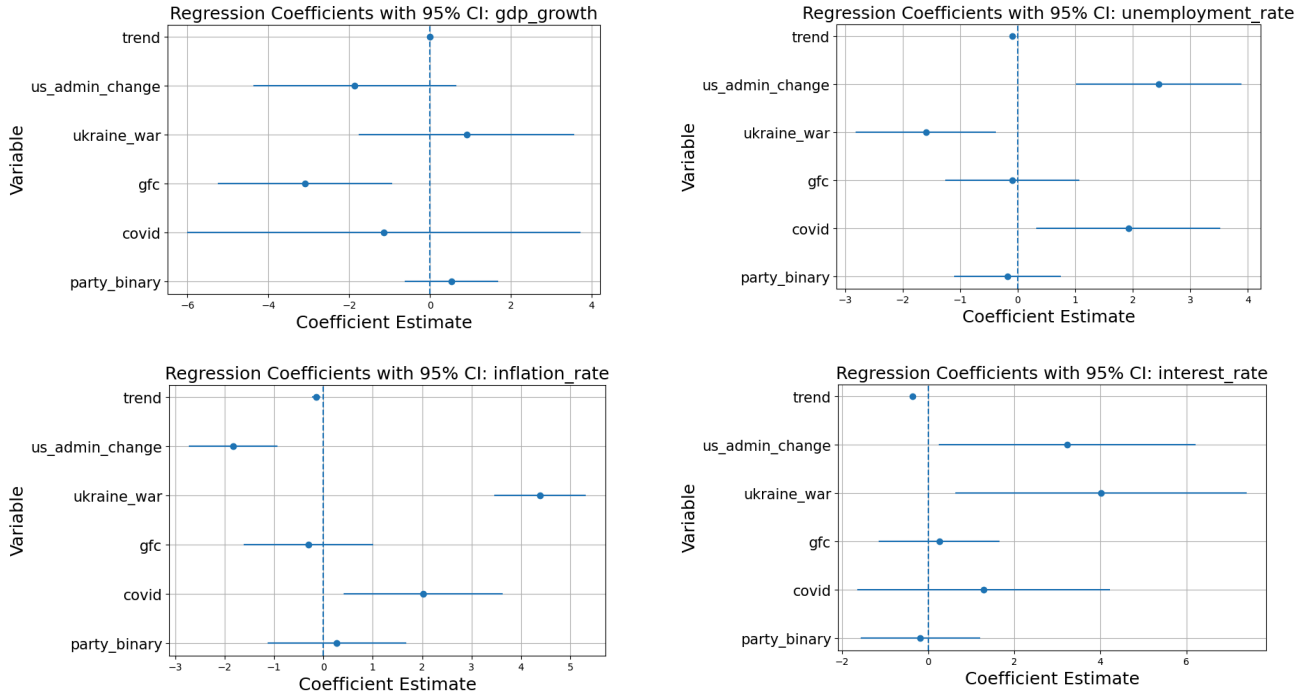

Figure 5: Linear regression coefficients.

4. Conclusions

This report evaluates the role of the federal government in shaping the Canadian economy from 1980 to 2025, with a focus on GDP growth, unemployment, inflation, and interest rates. The analysis incorporates key confounding factors, including the global financial crisis, the COVID-19 pandemic, the Ukraine-related economic shock, and changes in the U.S. administration.

The principal finding is that t**he null hypothesis (H_0) cannot be rejected at the 5% significance level for all four economic indicators.** This conclusion is consistent across the range of statistical techniques employed.

Descriptive statistics indicate substantial variation in economic outcomes over time, particularly during periods of crisis. Liberal governments are associated with lower unemployment and stronger GDP growth, whereas Conservative governments are associated with lower inflation and higher interest rates. Party-period visualizations further demonstrate the interaction between economic indicators and external shocks, including observed patterns such as subsequent inflation following GDP growth and policy adjustments by the Bank of Canada in response to economic conditions.

Inferential analyses consistently support these observations. Welch's t-test reveals no statistically significant differences between parties, while Cohen's d suggests only small to negligible effect sizes. Bootstrap and permutation methods similarly provide no robust evidence of meaningful differences. OLS regression results indicate that party-related coefficients are small relative to those associated with confounding factors, underscoring the dominant influence of external events.
In conclusion, although descriptive differences between Liberal and Conservative governments are observed, the statistical evidence does not support a causal relationship between party ideology and economic outcomes. The Canadian economy appears to be more strongly influenced by external forces than by the governing party.

5. References

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Appendix A: Election Results (1980-2025)

The table below lists all election periods with complete coverage from January 1980 to December 2025. A *Party %* above 50% indicates a majority government.

Election Date	Prime Minister	Government Party	Years	Party %
1980-02-18	Pierre Trudeau	Liberal	5.0	52.1
1984-09-04	Brian Mulroney	Conservative	4.2	74.8
1988-11-21	Brian Mulroney	Conservative	4.9	57.3
1993-10-25	Jean Chrétien	Liberal	3.6	60.0
1997-06-02	Jean Chrétien	Liberal	3.5	51.5
2000-11-27	Jean Chrétien	Liberal	3.6	57.1
2004-06-28	Paul Martin	Liberal	1.6	43.8
2006-01-23	Stephen Harper	Conservative	2.7	40.3
2008-10-14	Stephen Harper	Conservative	2.5	46.4
2011-05-02	Stephen Harper	Conservative	4.5	53.9
2015-10-19	Justin Trudeau	Liberal	4.0	54.4
2019-10-21	Justin Trudeau	Liberal	1.9	46.4
2021-09-20	Justin Trudeau	Liberal	3.6	47.3
2025-04-28	Mark Carney	Liberal	0.7	49.3
Total		Conservative: 19 Liberal: 28	47	

Appendix B: Economic Events (1980-2025)

The table below lists significant economic events during the period from January 1980 to December 2025. Events are characterized as type: positive (+) or negative (-).

Year(s)	Party	Type	Description
1981 - 1983	Liberal	-	Recession: ● High inflation 12%, unemployment 13%, GDP down 2% ● Interest rates raised to control inflation
1988	Conservative	+	Canada-US free trade agreement.
1990-1992	Conservative	-	Recession: ● High inflation 12%, unemployment 11%, GDP down 2% ● Interest rates raised to control inflation
1991	Conservative	-	Introduction of 7% GST.
1994-1995	Conservative	+	North America (NAFTA) free trade agreement. Federal spending slashed to reduce debt-to-GDP.
1997-2000	Liberal	+	Tech boom: ● Low inflation <2%, unemployment 6% ● GDP raised by 3% and balanced federal budget
2001-2002	Liberal	-	Dot-com bust: ● Inflation 3%, unemployment 8%, GDP down 3% ● BoC lowered interest rates to boost growth
2003-2007	Liberal / Conservative	+	Oil boom and growth: ● Low inflation 2%, unemployment 6% ● Interest rates 2-3%, GDP growth up 3%
2008-2009	Conservative	-	Global financial crisis: ● inflation <2%, unemployment 8%, GDP down 4% ● Interest rates lowered to boost growth
2009-2014	Conservative	+	Recovery and fiscal stabilization.
2014-2016	Conservative	-	Oil price crash.
2020	Liberal	-	COVID-19 pandemic: ● inflation 2%, high unemployment 14%, GDP -4% ● Interest rates kept low to boost growth
2021-2024	Liberal	-	Pandemic recovery: ● Inflation 7%, low unemployment <6%, GDP 2% ● Interest rates raised 5% to control inflation
2025	Liberal	-	US trade war slowdown. ● inflation <2%, unemployment 8%, GDP <2% ● Interest rates remain low 2% to boost growth

Appendix C: Causal Discussion

The aim was to evaluate whether there is any association between the federal governing party and economic variables. To achieve this, four-yearly variables were used: unemployment rate, inflation rate, GDP growth rate, and overnight interest rate. The variables were evaluated from 1980 to 2025.

Main Explanatory Variable

The primary variable of interest is the governing federal political party (e.g., Liberal vs. Conservative), coded to allow comparison across party periods.

Outcomes

The outcome variables are the four economic variables mentioned above. The four variables represent the Canadian economy in different aspects: the unemployment rate represents the labour market, the inflation rate represents prices, the GDP growth rate represents economic growth, and the overnight interest rate represents monetary conditions.

Confounding Factors

Some factors can influence both the federal governing party and economic variables, but are not directly attributed to the governing party. For instance, major macro-economic events that have affected Canada and other economies worldwide in recent times include the global financial crisis, the COVID-19 pandemic, and the Ukraine economic shock. Long-term economic trends in Canada and worldwide can also be considered. All these factors can influence economic variables and can coincide with different governing party periods. These factors can be considered to have an impact on the relationship that is to be established between the federal governing party and economic variables.

Role of Controls

We used variables for major events and time trends to account for all these factors. This allows for comparisons to be made across different governing party periods while controlling for these variables. However, since this is observational research, endogeneity may still be present. For instance, economic conditions can lead to a party being elected to power.